MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP (HONOURS) FIRST SEMESTER EXAMINATION
(2024 ADMISION ONWARDS)
MG3DSCBLW200 – GST Laws: Fundamentals

Duration: 1 hour 15 minutes Maximum Marks: 70

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer **Any 20** Questions. Each question carries **1** mark

1. As a result of constitution amendment for GST a Separate List …..... has been inserted into the constitution. [Understand] [CO3]
   a) Article 246A b) Article 146B c) Article 122C d) Article 101B
2. The primary objective of GST in India is …..... [Understand] [CO1]
   a) To increase of export duties **b) To simplify the tax structure and eliminate cascading taxes** c) To promote black market transactions d) To raise direct taxes
3. EBN generated is verifiable by …..... [Understand] [CO1]
   a) Tax authorities b) Suppliers c) Recipient **d) All of the other options**
4. Input tax is paid by …..... [Understand] [CO1]
   a) Supplier **b) Recipient on inward supplies** c) GST Council d) Government
5. The GST Suvidha Providers (GSPs) are …..... [Understand] [CO1]
   a) Government officials who audit GST returns **b) Private companies authorized to build innovative solutions for interacting with the GST system**
   c) Taxpayers using the GST portal d) Banks collecting GST payments
6. According to the CGST Act, the primary purpose of identifying the "Time of Supply" is …..... [Understand] [CO2]
   a) To determine the place of supply **b) To link with the payment of tax, identifying when the liability to pay tax arises** c) To calculate the value of taxable supply d) To define the type of goods or services supplied
7. …..... is considered the backbone of GST. [Understand] [CO3]
   a) **ITC** b) RNR c) RCM d) ECO
8. …..... sectors have been mostly benefited from GST in terms of logistics and transportation. [Understand] [CO1]
   a) Banking b) Agriculture **c) Retail and e – commerce** d) Automobile
9. The GSTN network enables taxpayers to …..... [Understand] [CO1]
   a) File returns online b) Make tax payment c) Generate E-way bills **d) All of the other options**
10. Sree supplies certain material to Amy on 10.11.2025 and the invoice was raised on 15.12.2025. The payment was received on 25.11.2025 and it was entered in his books of account on the same date and credited in his bank account on 27.11.2025. Determine the time of Supply. [Analyse] [CO4]
    a) 10.11.2025 b) 25.11.2025 c) 27.11.2025 d) 9.11.2025

11. Value of supply of goods and services shall be the …….. [Understand] [CO2]
    a) MRP **b) Transaction cost** c) cost + profit d) Profit
12. Avoidance of double taxation via ITC protects which component of a supply chain?
    a) Only buyers b) Final consumers c) Business turnaround time **d) Every prior stage by offsetting tax paid on inputs** [Understand][CO3]
13. Section 32 of the CGST Act prohibits …..... [Understand][CO3]
    a) Collection of tax by unregistered persons b) Issuance of duplicate invoices c) Exports without payment of IGST d) Use of handwritten invoices
14. HSN code helps in …..... [Understand] [CO1]
    a) Uniform classification of goods b) Facilitate in International trade
    c) Reducing disputes in taxation **d) All of the other Options**
15. For B2C supplies by a person with turnover more than ₹5 crores, the required HSN digits on tax invoice are…..... [Understand] [CO3]
    a) Optional 4 digits b) 2 digits **c) 6 digits** d) Nil
16. Anila of 'Maharashtra' supplied goods to Bhaskar of 'Delhi'. When goods start moving, Bhaskar instructs the supplier i.e. Ms. Anila to deliver the goods to 'Chaudari' at Ahmedabad on his behalf. Determine the place of supply. [Analyse] [CO4]
    a) Delhi b) Maharashtra c) Ahmedabad d) None of the other options
17. When is a person required to obtain multiple registration under GST? [Understand] [CO1]
    a) When business is in multiple states b) When turnover is less than threshold limit c) When business is in one state only d) When goods are exported
18. …..... is the copy of Delivery Challan which is meant for the transporter. [Understand][CO3]
    a) Original copy **b) Duplicate Copy** c) Triplicate copy d) None
19. Under GST, how many types of electronic ledgers must be maintained by a registered person? [Understand][CO3]
    a) One b) Two **c) Three** d) Four
20. According to Rule 30, value of supply of goods will be _____ % of the cost of production or manufacture. [Understand] [CO2]
    a) 120 **b) 110** c) 105 d) 100
21. The minimum time allowed for issuing an invoice for services (except for financial services) is …..... [Understand][CO4]
    a) 15 days **b) 30days** c) 45 days d) On the date of service
22. The GST Common Portal is managed by …..... [Understand][CO4]
    a) **GSTN** b) GST Council c) Central Government d) State Government

[1 x 20 = 20]

Part **B**

Multiple Choice Questions

Answer **Any 25** Questions. Each question carries **2** marks

23. Which statements are true about GST? [Understand] [CO1]
    1. It is a value-added tax. 2. It is a multi-point tax.
    3. Exports are taxed at standard rates. 4. Imports are treated as inter-state supplies.

a) 1, 2 and 4 b) 1 ,2 and 3 c) 2,3 and 4 d) 1,2,3 and 4

24. In a "Bill to Ship to" transaction, where goods are delivered by the supplier to the recipient at the instruction of a third person, the place of supply will be …..... [Understand] [CO2]
    a) The location of the actual recipient of the goods. **b) The principal place of business of the third person (original buyer).** c) The location of the supplier. d) The place where the goods are manufactured.
25. Which of the following is considered while calculating net tax liability? [Understand] [CO1]
    a) Only input tax b) Only output tax **c) Output tax minus input tax** d) Input tax minus output tax
26. The time of supply in relation to value of supply by way of interest, late fee or penalty will be …..... [Understand] [CO2]
    a) the date of actual issue of invoice by the supplier b) the last date on which he is required, under section 31(1), to issue the invoice with respect to the supply c) the date on which the supplier receives the payment with respect to the supply **d) the date on which the supplier receives such addition in value by way of interest, late fee or penalty for delayed payment**
27. Choose from below, the conditions to be satisfied to consider Transaction Value as the value of supply. [Understand] [CO2]
    (1) Goods are sold at profit (2) Price is the sole consideration
    (3) Supplier and recipient are unrelated (4) Supplier and recipient are related
    a) 1 and 4 only b) 2 and 4 only **c) 2 and 3 only** d) 3 and 4 only
28. Under Rule 29, value of supply of goods made or received through an agent will be the _____, or, at the option of the supplier,_____ for the supply of goods of like kind and quality by the recipient to his unrelated customer. [Understand][CO3]
    a) open market value; 90% of price charged b) 110% of cost of production; 90% of price charged c) 90% of price charged; open market value d) open market value; 110% of price charged
29. Rahul took a life insurance policy, wherein a portion of the premium paid is allocated to investments/ savings by the company. The amount set apart for investments is already intimated to Rahul. Which among the following will be value of supply? [Understand][CO2]
    a) Gross premium charged **b) Gross premium less amount allocated to investments** c) 10% of gross premium d) 25% of the gross premium
30. A racing club earns ₹15 lakh from betting. Will this be treated as business under GST? [Understand] [CO1]
    a) No **b) Yes, as supply of services** c) Exempt supply d) Non GST supply
31. Consider the following statements and state which of the statements are true. [Understand] [CO2]
    Statement I - For persons dealing in second hand goods, value of supply will be the difference between buying price and selling price (margin)

Statement II - Only minor processing, which does not change the nature of the goods, should be made before sale

a) **Both statements are true.** b) Statement I is true, and Statement II is false c) Statement I is false, and Statement II is true d) Both statements are false.

32. Calculate the total invoice value (inclusive of GST) if goods worth ₹50,000 are sold by Mr. A in Kerala to Mr. B in Kerala. Also show the amount and type of GST levied, if the applicable rate of GST is 12%. [Understand][CO4]
    a) **₹56,000; CGST - ₹3000, SGST - ₹3000** b) ₹62,000; CGST - ₹6000, SGST - ₹6000 c) ₹56,000; IGST - ₹6000 d) ₹56,000; CGST - ₹3000, UTGST - ₹3000
33. Which of the following statements is TRUE? [Understand][CO3]
    a) TCS increases supplier's GST liability **b) TCS is a pre-paid tax collected on behalf of supplier** c) TCS is not adjustable against supplier's tax d) TCS is collected only in exports
34. Which of the following statements is true regarding a TDS certificate? [Understand][CO3]
    a) It is issued only to companies by the Income Tax Department. b) It is a document issued by the deductee to the deductor. **c) It serves as proof that tax has been deducted at source and deposited with the government.** d) It is not required for filing income tax returns.
35. Consider the following statements Assertion(A) and Reasoning (R). Choose the correct alternative: [Understand] [CO1]
    Assertion (A): GST has replaced multiple indirect taxes in India.
    Reasoning (R): One of the main objectives of GST was to simplify the indirect tax system.
    a) Both A and R are true, and R is the correct explanation of A
    b) Both A and R are true, but R is not the correct explanation of A
    c) A is true, but R is false
    d) A is false, but R is true
36. The GSTIN number is linked to which of the following account/number …..... [Understand][CO4]
    a) **PAN of the taxpayer** b) Electrol card of the tax payer c) Bank account of the tax payer d) Passport of the tax payer
37. ISD mechanism is used mainly by …..... [Understand][CO3]
    a) Exporters **b) Service-oriented organizations with multiple branches** c) Small dealers d) Importers
38. Determine the time of supply in accordance with the GST Act,2017? [Understand][CO3]
    (i) Date of the completion of services-16-07-2020 (ii) Date of Invoice-11-08-2020
    (ii) Date of receipt of payment-26-08-2020
    a) 11-08-2020 b) 16-07-2020 c) 26-08-2020 d) 20-07-2020
39. A manufacturer under composition scheme sells goods worth ₹10,00,000 within the state. Tax rate applicable is 1%. What is the GST liability? [Understand][CO3]

a) Rs 1,00,000 **b) Rs 10,000** c) Rs 5,000 d) Nil

40. ISD distributes credit on …..... [Understand][CO3]
    a) Pro-rata basis **b) Turnover basis** c) Equal basis d) Random basis
41. TCS is calculated on …..... [Understand][CO3]
    a) **Taxable value of supply excluding GST** b) Value including GST c) Only profit margin of supplier d) Net turnover after ITC
42. Identify the services provided by GSTN from the following options: [Understand] [CO1]
    i)Registration of taxpayer ii)Filing of return
    iii) Tax payment facilitation iv) Settlement of Dispute
    a) Options i,ii,& iii only b) Options ii & iii only c) Options i & iv only d) Options i, ii, iii & iv
43. Mr. EXL, a supplier registered in Kerala having principal place of business at Thiruvananthapuram asks Mr. DYL of Ahmedabad, Gujarat to deliver 50 Samsung phone to his buyer Mr.ZL at Jaipur, Rajasthan.Determine the Place of Supply. [Analyse] [CO4]
    a) **Thiruvananthapuram** b) Ahmedabad c) Jaipur d) None of the other options
44. Match the following : [Understand] [CO1]
    (a) Location of supplier of goods (i) Where goods are delivered
    (b) Place of supply (ii)Place of business from where supply is made
    (c) Inter-state supply (iii)Covered under Schedule I of CGST Act
    (d) Deemed supply without consideration (iv) Supplier and place of supply in different states
    a) a-ii,b-i,c-iv, d-iii b) a-i, b-iv, c-iii, d-ii c) a-ii, b-iv, c-i, d-iii d) a-ii, b-iii, c-iv, d-i
45. In the case of services directly related to an immovable property, such as those by an architect or interior decorator, what is the place of supply? [Understand][CO2]
    a) The location of the service provider. b) The location of the recipient. **c) The location of the immovable property.** d) The place where the contract was signed.
46. An individual owns two businesses: a garment shop and a stationary store. Aggregate turnover of both exceeds the threshold limit. For GST purpose, he will be treated as …..... [Understand] [CO1]
    a) **One person with multiple place of business** b) Two separate taxable person
    c) Unregistered person d) Not liable for GST
47. With reference to RNR, consider the following statements. select the one/ ones which are correct? [Understand] [CO1]
    1. The purpose of RNR is to maintain fiscal neutrality during the shift from VAT/Excise/Service tax to GST.
    2. A high RNR may lead to inflationary pressure.
    3. A low RNR may cause revenue shortfall for the government.
    a) 1 only b) 1 and 2 only 3) 2 and 3 only **d) 1,2 and 3**
48. A registered business purchases goods worth Rs. 2,00,000 from an unregistered supplier. GST rate is 18%. The liability to pay tax will be …..

[Understand] [CO1]

a) On supplier **b) On recipient under RCM** c) On both supplier and recipient

e) On recipient under forward charge mechanism

49. The time limit for issuance of invoice for supply of services is …..... [Understand][CO3]

a) it should be issued before the provision of service b) it should be issued within 30 days from the date of supply of **service c) it should be issued either before the provision of service or within 30 days (45 days in case of insurance companies/ banking companies/financial institutions including NBFCs) from the date of supply of service.** d) it should, be issued within 30 days (45 days in case of insurance companies/banking companies/ financial institutions including NBFCs) from the date of supply of service

[2 x 25 = 50]